

it was rumoured that the promoters wanted to exit Metropolis, but the company clarified to the stock exchanges in June that there were no such plans. Some reports have also suggested that Metropolis has put its sale on hold and was looking to raise as much as \$500 million to fund acquisitions in healthcare and diagnostics. "If equity of \$500 million is raised, then promoters' stake will drop to 33 per cent. Issuance of debt entirely will dent profits by 12-15 per cent. A mix of debt and equity should be the ideal option for the company," says Abdulkader Puranwala, Analyst-Healthcare and Pharma, and VP at Elara Capital. The promoters currently hold 49.79 per cent.

However, Promoter and Managing Director Ameera Shah has dismissed any reports of the promoters exiting the business as speculative. The plan is different, she says. "Metropolis has always been open for strategic partnerships that will aid the growth of the business," says Shah. "We are exploring various minority equity strategic options."

Deven Choksey, MD of KRChoksey Holdings, expects the diagnostics space to become more organised with the imminent entry of the Adani Group and pharma major Lupin, and lead to significant investments. "From Metropolis's point of view, the pandemic saw a surge in their valuation which, coupled with the entry of those with deep pockets, might give them a reason to exit," he says.

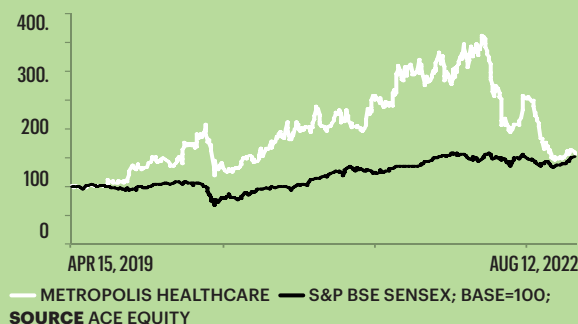
What makes the company a lucrative investment opportunity is the Metropolis brand that has a strong vision and a unique growth strategy, says Shah. "Since we listed in 2019, we have maintained an excellent track [record] of sustainable growth. We have cemented a position of trust with international and domestic investors by posting industry leading performance every quarter since listing," she says. "Our focussed efforts in enhancing operating parameters backed by best-in-class disclosures and good governance practices have been recognised by capital markets, and that has resulted in the stock delivering good returns." The stock has gained 55 per cent since listing compared to the benchmark Sensex's 53 per cent during the same period. However, on a year-to-date basis, the stock has declined nearly 57 per cent. Metropolis had a market capitalisation of ₹7,602 crore on August 12, 2022, with the stock closing at ₹1,486 on the BSE.

FUTURE FOCUS

Over the years, a major focus of the diagnostics chain has been on the acute illness segment and it aims to strengthen that in FY23. In 2021, Metropolis had unveiled a plan to expand its network by setting up 90 labs and 1,800 collection centres in 30 months. Its acquisition of South-based Hitech Diagnostic Centre was a step in that direction. "With the integration of Hitech Diagnostic Centre under Metropolis Healthcare now, we aim to further

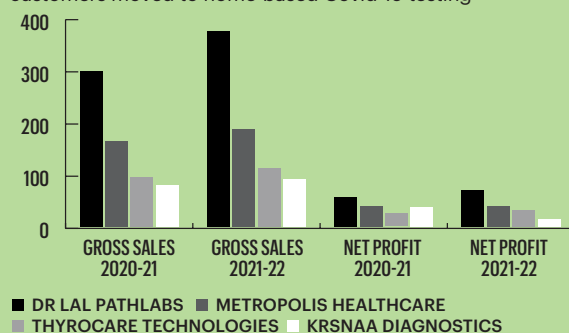
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The Metropolis stock has beaten the BSE Sensex in the past two years despite a significant drop from its all-time high price



METROPOLIS VS PEERS

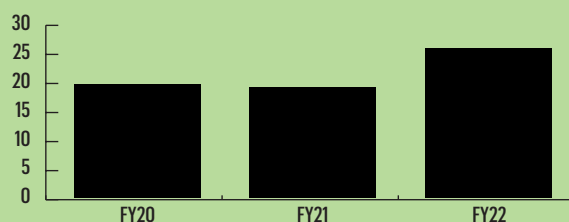
The net profit of Metropolis dipped slightly in FY22 as customers moved to home-based Covid-19 testing



FIGURES IN ₹ CRORE; STANDALONE RESULTS; SOURCE ACE EQUITY

POSITIVE REPORT

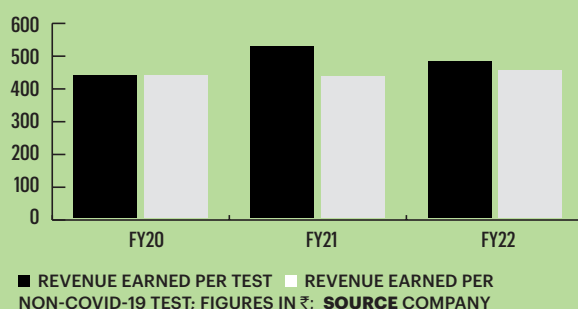
The number of tests done by Metropolis Healthcare jumped 35 per cent from FY21 to FY22



NUMBER OF TESTS IN MILLION; SOURCE COMPANY

REVENUE SQUEEZE

The revenue per test earned by Metropolis Healthcare dropped by 9 per cent between FY21 and FY22



GRAPHICS BY RAHUL SHARMA